2.2 – The global economy

<table>
<tr><th>Subject content</th><th>What learners need to study:</th></tr>
<tr><td>2.2.1 Globalisation</td><td>
a) Definition of globalisation: increased integration and interdependence of economies.
b) Reasons for globalisation:

fewer tariffs and quotas
reduced cost of transport
reduced cost of communication
increased significance of multinational corporations (MNCs).

c) Impacts of globalisation and global companies on individual countries, governments, producers and consumers, workers and the environment:

rising living standards
greater choice
lower prices
reduced costs of communication
closing of traditional industries
environmental impact.

d) Definition of multinational corporations (MNCs):

definition of foreign direct investment (FDI)
reasons for emergence of MNCs/FDI:

to benefit from economies of scale
to access natural resources/cheap materials
lower transport and communication costs
to access customers in different regions.

advantages and disadvantages of MNCs/ FDI:

creating jobs
investing in infrastructure
developing skills
developing capital
contributing to taxes
avoiding paying taxes
environmental damage
moving profits abroad.

</td></tr>
</table>